

Above Astra: the JC&C and Jardine Matheson layers

Where the discount really sits, who controls what, and where an activist can push

Companion to "Astra International (ASII IJ) holding-company deep dive" · 28 Sep 2026 · US\$ unless stated · FX assumptions: US\$1 = Rp15,900 = S\$1.28; €1 = US\$1.14

JMH STAKE IN JC&C	JC&C STAKE IN ASII	JMH LOOK-THROUGH ASII	JMH DISCOUNT TO NAV	JC&C VS MARKET NAV	JC&C FREE FLOAT
~85–87%	~50.5%	~43%	~36%	~+19% prem.	~13–15%

Our view: the discount is at the bottom (ASII) and the top (JMH), not in the middle (JC&C). The best activist lever is the small JC&C minority, because a JMH buyout of JC&C now looks close to inevitable.

- **JC&C does not trade at a discount to the market value of its holdings.** It trades at about a 19% *premium*, because Singapore investors price it on P/E and yield, not on Astra's depressed share price. Against our Astra SOTP it is only about 9% below NAV. JC&C is not the place to find a double discount.
- **JMH is at about a 36% discount to NAV**, even after privatising Mandarin Oriental, completing a US\$250m buyback, starting another US\$500m, and returning its parent balance sheet to net cash (US\$379m). The Keswick family's ~42–43% voting position rules out a control contest.
- **JMH has crept from ~78% to ~85–87% of JC&C**, including market purchases at S\$26.46. It is now within a few points of the level where SGX free-float rules would suspend trading. The endgame is a privatisation, and the minority's leverage is the SGX delisting veto: an exit offer must be "fair and reasonable", the offeror abstains from voting, and holders of 10% of the votes cast can block it.
- **JC&C is already doing what an activist would ask:** exiting Vinamilk, Siam City Cement and Toyota; selling the Singapore and Malaysia dealerships (US\$207m base price); paying a US\$73 special dividend; halving corporate net debt; renaming itself "Jardine Matheson Southeast Asia". The remaining ask is about *price*, not strategy.

1. The ownership chain

Layer	Listing	Controlled by	Stake	Other key holdings	What minorities actually own
Jardine Matheson Holdings (JMH)	Bermuda-incorporated; London and Singapore (J36)	Keswick family and associates, ~42–43% of votes	–	Hongkong Land 54.7%, DFI Retail ~78%, Mandarin Oriental 100%, Jardine Pacific and Jardine Motors 100%	A diversified Asian holdco at ~36% below NAV
Jardine Cycle & Carriage (JC&C) → "Jardine Matheson Southeast Asia"	Singapore (C07)	JMH	~85–87%	THACO 26.7%, REE 41.7%, Tunas Ridean 49.9%, residual Toyota shares (being distributed in specie)	A ~13–15% free float that is effectively a privatisation option
Astra International (ASII)	Indonesia (ASII IJ)	JC&C	~50.5%	See main report (UNTR 59.5%, AUTO 80%, AALI 79.7%, AHM 50%, Astra Financial ...)	An Indonesian conglomerate ~27% below SOTP
JMH look-through economic interest in Astra (86% × 50.5%)			~43.4%	At market, about US\$5.1bn, or ~30% of JMH's market cap	

JMH's stake in JC&C is reported at 85% (JC&C 2026 AGM) and 87% (JC&C website); we use 86%. Astra's buybacks raise JC&C's stake automatically (50.1% → ~50.5% so far). The Rp8T programme could take it to ~52–53% without JC&C spending cash.

2. JC&C: NAV on two bases

Holding (US\$bn)	Stake	At ASII market	At ASII SOTP	Basis / comment
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Astra International	50.5%	5.94	8.14	ASII market cap Rp187.2T; SOTP NAV Rp256.1T (main report)
THACO (Vietnam; autos, agriculture, industrial, real estate)	26.7%	1.00	1.00	2025 profit US\$251m (+65%); ~15x attributable. Book carrying value US\$0.72bn (end-2025).
REE Corp (Vietnam; power, water, M&E, property)	41.7%	0.45	0.45	Market cap ~€0.94bn
Tunas Ridean (Indonesia; dealerships, auto finance)	49.9%	0.17	0.17	Est.; H1 2026 contribution US\$10m (+7%)
Residual Toyota Motor Corp shares	–	0.14	0.14	~US\$36/sh, to be distributed in specie
Singapore and Malaysia motor business	–	sold	sold	To Chandra Asri for US\$207m base price, plus S\$333m inter-company balance novated to the buyer; disposal gain ~US\$221m
Corporate net debt (post-disposals, est.)	–	(0.35)	(0.35)	"Halved" in H1 2026 on Vinamilk, SCC and Toyota proceeds; further cut by the dealership sale
Capitalised central costs	–	(0.20)	(0.20)	Est.
NAV		7.15	9.35	
NAV per share (395.2m shares), S\$		S\$23.2	S\$30.3	
JC&C at ~S\$27.6 (US\$8.5bn): premium / (discount)		+19%	(9%)	

Why this matters. The market already gives JC&C credit for Astra's unlisted value, or for a future privatisation premium, or both. For a fund that wants the Astra discount, owning ASII directly is about 15–20% cheaper per rupiah of Astra NAV than owning it through JC&C. That supports the **long ASII / short JC&C** pair suggested in the main report. The one risk to the short leg is a JMH buyout offer for JC&C (Section 4), so size it accordingly or hedge with an options overlay.

Price caveat: vendor data for JC&C in August 2026 is inconsistent (S\$27.58 on 14 Aug vs S\$33.13 on another feed). An S\$11.2bn market cap on 3 Aug implies about S\$28, so we use S\$27.6. A higher price would widen the premium. The interim dividend went ex on 1 Sep 2026; the special dividend needs EGM approval.

3. JMH: NAV and discount

Holding (US\$bn)	Stake	Value	% of GAV	Basis
Hongkong Land (HKL)	54.7%	9.27	34%	Market cap S\$21.7bn (Sep 2026)
JC&C	~86%	7.33	27%	Market value
Mandarin Oriental	100%	~4.0	15%	Est.; implied by the 2025–26 privatisation price
DFI Retail Group	~78%	3.49	13%	US\$3.30 × ~1.35bn shares
Jardine Pacific and Jardine Motors	100%	~2.1	8%	Est.; ~10x underlying profit
Other investments	–	~1.0	4%	Est.
Parent net cash (30 Jun 2026)	–	0.38	1%	Reported (end-2025: US\$0.04bn)
Capitalised central costs	–	(0.8)	–	Est.
NAV		26.8		≈ US\$91/sh on ~293.6m shares
Market cap at US\$58.42		17.15		Discount ≈ 36%

- **Compounded discount:** a JMH shareholder buys Astra NAV at about 0.73 (ASII discount) × 0.64 (JMH discount) ≈ **47 cents on the dollar**, before the JC&C premium partly offsets it.
- **What JMH has already done:** the 2021 buy-in of Jardine Strategic (US\$5.5bn) ended the 1980s cross-holding; Mandarin Oriental was fully privatised (last 11.96% acquired, completed Jan 2026); HKL, DFI and JC&C are recycling assets; buybacks of US\$250m (done) plus US\$500m (new); interim DPS +8% to US\$0.65 and FY26 guidance of at least US\$2.47 (+5%); the CEO bought more than US\$0.5m of shares.
- **What it hasn't done:** it has not touched control. Keswick voting influence is about 42–43% on under 10% direct economic ownership. The buyback is about 2.9% of market cap, which is small against a 36% discount.

4. The JC&C minority: privatisation arithmetic and the blocking stake

Mechanism	What it means for minorities
Free float	SGX requires at least 10% in public hands. At ~87%, JMH is about 3pp away from a free-float suspension, so further creeping purchases are almost exhausted.
Creeping purchases	Above 50%, JMH can buy in the market without triggering a mandatory offer. That is how it moved from 78% to 85%+, with disclosures at each percentage point.
Voluntary delisting (SGX Rule 1307)	The exit offer must be opined "fair and reasonable" by an independent financial adviser. The offeror and its concert parties abstain, and the resolution fails if 10% or more of the votes cast by shareholders present oppose it. That makes a 13–15% float a genuine veto group.
Compulsory acquisition (general offer)	Squeeze-out needs 90% acceptance of the shares not already held. Holders of just over 10% of the float, i.e. ~1.5% of JC&C's capital (~US\$130m), can deny it.
Scheme of arrangement	Needs 75% by value and a majority by headcount of the votes cast by disinterested holders. A concentrated minority can block it.
Precedent: Jardine's own record	JC&C's first attempt to privatise Cycle & Carriage Bintang (Malaysia) failed when 13.18% of disinterested holders voted against . It succeeded on a second attempt at RM2.20, which the adviser called "not fair but reasonable". The US\$33 Jardine Strategic buy-in in 2021 was also contested by minority holders.

What would a fair offer look like?

Reference point	S\$/share	vs S\$27.6
JMH market purchase price (2026)	26.46	(4%)
NAV with Astra at market	23.2	(16%)
Typical Singapore privatisation premium (20–30% to last close)	33–36	+20–30%
NAV with Astra at our SOTP	30.3	+10%
DBS target price	39.0	+41%

The adviser will anchor on the market NAV (S\$23), which argues *against* a big premium. Minorities will anchor on the look-through SOTP, P/E and yield, and precedent premiums. **We expect any offer in the S\$31–35 range**, and a well-organised 10% bloc should hold out for the upper end.

5. Where an activist should push: ranked

#	Target and ask	Rationale	Feasibility	Payoff
1	JC&C minority bloc: "Privatise us, and pay for Astra's intrinsic value"	This has the smallest cheque (the float is ~US\$1.1–1.3bn), a legal veto (Rule 1307 / 90% squeeze-out) and a controller that clearly wants 100%. The name change to "Jardine Matheson Southeast Asia" signals full integration.	High	+15–30%
2	JMH / JC&C: "Buy ASII stock, not your own minorities"	At ~5.4x implied P/E on Astra's unlisted core, buying ASII in the market is JMH's most accretive use of capital. It adds control and dividends, and it is cheaper than paying a premium for JC&C paper that already trades above market NAV. Dealership proceeds, Toyota proceeds and JMH's net cash could fund a steady ASII accumulation programme.	Medium	Supports ASII re-rating
3	Astra: "Sell the non-core, raise the buyback"	Asks as in the main report: dispose of AALI, MMLP, ASGR and the healthcare stakes; Rp12T+ a year of buybacks; a partial IPO of Astra Financial. JMH/JC&C would benefit on ~43% of the value, and the capital-recycling vocabulary is already in place ("Astra playbook").	Medium	Largest NAV impact

4	JMH: "Close the 36% discount: bigger buybacks, fewer layers"	The US\$500m buyback is only 2.9% of market cap. Ask for a multi-year programme sized to disposals, and for HKL and DFI to be taken private or sold down on the Mandarin Oriental template. But Keswick voting (~42–43%) and Bermuda incorporation (outside the UK Takeover Code) mean engagement only, with no voting leverage.	Low	High, but slow
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6. Incentives: what the controller wants

- **JMH needs cash upstream.** It has only US\$0.38bn of parent net cash, and it is committing to a US\$500m buyback and rising dividends (guidance of at least US\$2.47). It prefers Astra and JC&C *dividends* and special dividends (hence the US\$73 JC&C special) over retained capital.
- **Astra buybacks are free control creep for JMH.** Each Rp1T of ASII buyback raises JC&C's stake by about 0.27pp at no cost. That suits Jardine as long as the dividend payout holds at 45–50%.
- **Tension point:** privatising JC&C costs JMH about US\$1.3–1.5bn at a 20–30% premium. That is roughly 3–4x its parent net cash and competes with the JMH buyback, so JMH may keep creeping and delay a formal offer. The catalyst could be the free-float breach itself or proceeds from HKL and DFI recycling.
- **Management signals:** "active stewardship", five-year TSR targets at both Astra and JC&C, a new CEO buying stock, and DBS calling JMH "a leading Asian capital allocator in the making". The rhetoric has moved; the discount has not.

7. Pre-mortem for the Jardine-layer trades

Trade	What goes wrong	Mitigant
Long JC&C for a privatisation	JMH stops at ~87–89% and never bids. The stock drifts with Astra and the SGD. Alternatively, the offer anchors on market NAV (S\$23) and the adviser calls it "not fair but reasonable".	Hold only with a bloc; pair with short ASII to neutralise Astra beta.
Long ASII / short JC&C	A JMH bid for JC&C squeezes the short leg by 20–30%.	Size the short at ≤50% of the long; buy JC&C upside calls if available, or use a stop.
Long JMH for discount closure	Hong Kong property (HKL) and China retail (DFI) weaken. The buyback is too small, and the Keswick voting structure keeps the discount at 35–45%.	Treat as a slow compounder (~4% yield plus buyback), not an event.

8. Bottom line

For an event-driven book:

- **Core position: long ASII.** The discount is widest there (~27% to SOTP), with an Rp8T buyback, a disposal pipeline, and a controller whose incentives point towards higher returns.
- **Event option: JC&C minority.** JMH at ~87% of JC&C is at the end of its creeping road, and the SGX delisting rules give a 10% minority bloc real negotiating power. That makes it a good fit for an activist's "fair price" campaign, ideally hedged against Astra.
- **JMH: an owner-operator compounder, not an activist target.** The 36% discount is real, but Keswick voting control means an activist can engage but not compel change.

Sources: JC&C 2026 half-year results (30 Jul 2026) and 2026 AGM minutes; Jardine Matheson 2026 half-year results and investor day (Jun 2026); The Edge Singapore, DealStreetAsia, Newswav/DSF and BriefAsia on the Chandra Asri dealership sale and the special dividend/name change; Minichart and DBS research summaries; Yahoo Finance (JMH purchase of JC&C shares at S\$26.46); SCMP, Holland Advisors ("Dear Mr Keswick", Mar 2021), Asian Century Stocks and Wikipedia on the Keswick structure and the 2021 Jardine Strategic buy-in; The Investor (THACO 2025 profit); JC Project Freedom (JC&C and Cycle & Carriage Bintang privatisation history); market data from Stockanalysis, Growbeansprout, Investing.com and companiesmarketcap (Aug–Sep 2026). Stakes, net debt and unlisted values marked "est." or "~" are the author's estimates. The SGX rule descriptions are summaries; confirm with counsel before acting. For professional investors' internal discussion only; not investment advice.